

Senate File 2472

S-5172

1 Amend Senate File 2472 as follows:

2 1. Page 1, by striking lines 14 through 30 and inserting:

3 ~~<c. (1) For each fiscal year beginning on or after July~~
4 ~~1, 2028, three dollars and fifty cents per thousand dollars of~~
5 ~~assessed value. For the fiscal year beginning July 1, 2027,~~
6 ~~and the fiscal year beginning July 1, 2028, the greater of:~~

7 (a) A levy rate per one thousand dollars of assessed value
8 equal to one thousand multiplied by the quotient of one hundred
9 one and three-fourths percent of the current fiscal year's
10 actual property tax dollars certified for levy under this
11 subsection 1 divided by the remainder of the total assessed
12 value used to calculate such taxes for the budget year minus
13 value attributable to new valuation.

14 (b) A levy rate per one thousand dollars of assessed value
15 that results in an amount of actual property tax dollars
16 certified for levy under this subsection 1 equal to one
17 hundred and one-half percent of the actual property tax dollars
18 certified for levy under this subsection 1 for the current
19 fiscal year.

20 (2) For the fiscal year beginning July 1, 2029, the greater
21 of:

22 (a) A levy rate per one thousand dollars of assessed value
23 equal to one thousand multiplied by the quotient of one hundred
24 two percent of the current fiscal year's actual property tax
25 dollars certified for levy under this subsection 1 divided by
26 the remainder of the total assessed value used to calculate
27 such taxes for the budget year minus value attributable to new
28 valuation.

29 (b) A levy rate per one thousand dollars of assessed value
30 that results in an amount of actual property tax dollars
31 certified for levy under this subsection 1 equal to one
32 hundred and one-half percent of the actual property tax dollars
33 certified for levy under this subsection 1 for the current
34 fiscal year.>

35 2. Page 1, line 34, by striking <2028> and inserting <2030>

1 3. Page 2, line 2, by striking <2028> and inserting <2030>

2 4. By striking page 3, line 24, through page 4, line 5, and
3 inserting:

4 ~~<c. (1) For each fiscal year beginning on or after July 1,~~
5 ~~2028, three dollars and ninety-five cents per thousand dollars~~
6 ~~of assessed value. For the fiscal year beginning July 1, 2027,~~
7 ~~and the fiscal year beginning July 1, 2028, the greater of:~~

8 (a) A levy rate per one thousand dollars of assessed value
9 equal to one thousand multiplied by the quotient of one hundred
10 one and three-fourths percent of the current fiscal year's
11 actual property tax dollars certified for levy under this
12 subsection 2 divided by the remainder of the total assessed
13 value used to calculate such taxes for the budget year minus
14 value attributable to new valuation.

15 (b) A levy rate per one thousand dollars of assessed value
16 that results in an amount of actual property tax dollars
17 certified for levy under this subsection 2 equal to one
18 hundred and one-half percent of the actual property tax dollars
19 certified for levy under this subsection 2 for the current
20 fiscal year.

21 (2) For the fiscal year beginning July 1, 2029, the greater
22 of:

23 (a) A levy rate per one thousand dollars of assessed value
24 equal to one thousand multiplied by the quotient of one hundred
25 two percent of the current fiscal year's actual property tax
26 dollars certified for levy under this subsection 2 divided by
27 the remainder of the total assessed value used to calculate
28 such taxes for the budget year minus value attributable to new
29 valuation.

30 (b) A levy rate per one thousand dollars of assessed value
31 that results in an amount of actual property tax dollars
32 certified for levy under this subsection 2 equal to one
33 hundred and one-half percent of the actual property tax dollars
34 certified for levy under this subsection 2 for the current
35 fiscal year.>

1 5. Page 4, line 9, by striking <2028> and inserting <2030>
2 6. Page 4, line 12, by striking <2028> and inserting <2030>
3 7. By striking page 6, line 21, through page 7, line 15, and
4 inserting:
5 ~~<d. (1) (a) For each fiscal year beginning on or after~~
6 ~~July 1, 2028, a city's tax levy rate for the general fund,~~
7 ~~except for levies authorized in [section 384.12](#), shall not~~
8 ~~exceed eight dollars and ten cents per thousand dollars of~~
9 ~~assessed value used to calculate taxes in any fiscal year. For~~
10 ~~the fiscal year beginning July 1, 2027, and the fiscal year~~
11 ~~beginning July 1, 2028, a city's tax levy rate for the general~~
12 ~~fund, except for levies authorized in section 384.12, shall not~~
13 ~~exceed the greater of:~~
14 (i) A levy rate per one thousand dollars of assessed value
15 equal to one thousand multiplied by the quotient of one hundred
16 one and three-fourths percent of the current fiscal year's
17 actual property tax dollars certified for levy under this
18 subsection divided by the remainder of the total assessed value
19 used to calculate such taxes for the budget year minus value
20 attributable to new valuation.
21 (ii) A levy rate per one thousand dollars of assessed
22 value that results in an amount of actual property tax dollars
23 certified for levy under this subsection equal to one hundred
24 and one-half percent of the actual property tax dollars
25 certified for levy under this subsection for the current fiscal
26 year.
27 (b) Notwithstanding other provisions of this subparagraph,
28 if a city's actual levy rate for the current fiscal year is
29 zero dollars per one thousand dollars of assessed value, a levy
30 rate per one thousand dollars of assessed value equal to one
31 thousand multiplied by the quotient of one hundred two percent
32 of the city's certified general fund budget for the current
33 fiscal year divided by the remainder of the total assessed
34 value used to calculate taxes for the budget year minus value
35 attributable to new valuation.

1 (2) (a) For the fiscal year beginning July 1, 2029, a
2 city's tax levy rate for the general fund, except for levies
3 authorized in section 384.12, shall not exceed the greater of:
4 (i) A levy rate per one thousand dollars of assessed value
5 equal to one thousand multiplied by the quotient of one hundred
6 two percent of the current fiscal year's actual property tax
7 dollars certified for levy under this subsection divided by
8 the remainder of the total assessed value used to calculate
9 such taxes for the budget year minus value attributable to new
10 valuation.
11 (ii) A levy rate per one thousand dollars of assessed
12 value that results in an amount of actual property tax dollars
13 certified for levy under this subsection equal to one hundred
14 and one-half percent of the actual property tax dollars
15 certified for levy under this subsection for the current fiscal
16 year.
17 (b) Notwithstanding other provisions of this subparagraph,
18 if a city's actual levy rate for the current fiscal year is
19 zero dollars per one thousand dollars of assessed value, a levy
20 rate per one thousand dollars of assessed value equal to one
21 thousand multiplied by the quotient of one hundred two percent
22 of the city's certified general fund budget for the current
23 fiscal year divided by the remainder of the total assessed
24 value used to calculate taxes for the budget year minus value
25 attributable to new valuation.>
26 8. Page 7, line 19, by striking <2028> and inserting <2030>
27 9. Page 7, line 23, by striking <2028> and inserting <2030>
28 10. By striking page 10, line 23, through page 11, line 28.
29 11. By striking page 23, line 33, through page 24, line 4.
30 12. By striking page 34, line 20, through page 36, line 5,
31 and inserting:
32 <(2) For valuations established for the assessment year
33 beginning January 1, 2026, the percentage of actual value as
34 equalized by the department of revenue as provided in section
35 441.49 at which residential property shall be assessed shall

1 be fifty-five percent.

2 (3) For valuations established for the assessment year
3 beginning January 1, 2027, and each assessment year thereafter,
4 the percentage of actual value as equalized by the department
5 of revenue as provided in section 441.49 at which residential
6 property shall be assessed shall be sixty-five percent.>

7 13. By striking page 38, line 1, through page 40, line 4,
8 and inserting:

9 ~~<b. For valuations established on or after January 1, 2013,~~
10 ~~commercial~~ Commercial property, excluding properties referred
11 to in section 427A.1, subsection 9, shall be assessed at a
12 portion of its actual value, as determined in this paragraph
13 "b".

14 ~~{1} For valuations established for the assessment year~~
15 ~~beginning January 1, 2013, the percentage of actual value~~
16 ~~as equalized by the department of revenue as provided in~~
17 ~~section 441.49 at which commercial property shall be assessed~~
18 ~~shall be ninety-five percent. For valuations established~~
19 ~~for the assessment year beginning January 1, 2014, and each~~
20 ~~assessment year thereafter beginning before January 1, 2022,~~
21 ~~the percentage of actual value as equalized by the department~~
22 ~~of revenue as provided in section 441.49 at which commercial~~
23 ~~property shall be assessed shall be ninety percent.~~

24 ~~{2}~~ (1) For valuations established for the assessment year
25 beginning January 1, 2022, and each assessment year thereafter
26 beginning before January 1, 2026, the portion of actual value
27 at which each property unit of commercial property shall be
28 assessed shall be the sum of the following:

29 (a) An amount equal to the product of the assessment
30 limitation percentage applicable to residential property under
31 subsection 4 for that assessment year multiplied by the actual
32 value of the property that exceeds zero dollars but does not
33 exceed one hundred fifty thousand dollars.

34 (b) An amount equal to ninety percent of the actual value of
35 the property for that assessment year that exceeds one hundred

1 fifty thousand dollars.

2 (2) For valuations established for the assessment year
3 beginning January 1, 2026, the portion of actual value at which
4 each property unit of commercial property shall be assessed
5 shall be the sum of the following:

6 (a) An amount equal to the product of the assessment
7 limitation percentage applicable to residential property under
8 subsection 4 for that assessment year multiplied by the actual
9 value of the property that exceeds zero dollars but does not
10 exceed one hundred fifty thousand dollars.

11 (b) An amount equal to ninety-three percent of the actual
12 value of the property for that assessment year that exceeds one
13 hundred fifty thousand dollars.

14 (3) For valuations established for the assessment year
15 beginning January 1, 2027, and each assessment year thereafter,
16 the portion of actual value at which each property unit of
17 commercial property shall be assessed shall be the sum of the
18 following:

19 (a) An amount equal to the product of the assessment
20 limitation percentage applicable to residential property under
21 subsection 4 for that assessment year multiplied by the actual
22 value of the property that exceeds zero dollars but does not
23 exceed one hundred fifty thousand dollars.

24 (b) An amount equal to one hundred percent of the actual
25 value of the property for that assessment year that exceeds one
26 hundred fifty thousand dollars.

27 ~~c. For valuations established on or after January 1, 2013,~~
28 ~~industrial~~ Industrial property, excluding properties referred
29 to in section 427A.1, subsection 9, shall be assessed at a
30 portion of its actual value, as determined in this paragraph
31 "c".

32 ~~{1} For valuations established for the assessment year~~
33 ~~beginning January 1, 2013, the percentage of actual value~~
34 ~~as equalized by the department of revenue as provided in~~
35 ~~section 441.49 at which industrial property shall be assessed~~

1 ~~shall be ninety-five percent. For valuations established~~
2 ~~for the assessment year beginning January 1, 2014, and each~~
3 ~~assessment year thereafter beginning before January 1, 2022,~~
4 ~~the percentage of actual value as equalized by the department~~
5 ~~of revenue as provided in section 441.49 at which industrial~~
6 ~~property shall be assessed shall be ninety percent.~~

7 ~~(2)~~ (1) For valuations established for the assessment year
8 beginning January 1, 2022, and each assessment year thereafter
9 beginning before January 1, 2026, the portion of actual value
10 at which each property unit of industrial property shall be
11 assessed shall be the sum of the following:

12 (a) An amount equal to the product of the assessment
13 limitation percentage applicable to residential property under
14 subsection 4 for that assessment year multiplied by the actual
15 value of the property that exceeds zero dollars but does not
16 exceed one hundred fifty thousand dollars.

17 (b) An amount equal to ninety percent of the actual value of
18 the property for that assessment year that exceeds one hundred
19 fifty thousand dollars.

20 (2) For valuations established for the assessment year
21 beginning January 1, 2026, the portion of actual value at which
22 each property unit of industrial property shall be assessed
23 shall be the sum of the following:

24 (a) An amount equal to the product of the assessment
25 limitation percentage applicable to residential property under
26 subsection 4 for that assessment year multiplied by the actual
27 value of the property that exceeds zero dollars but does not
28 exceed one hundred fifty thousand dollars.

29 (b) An amount equal to ninety-three percent of the actual
30 value of the property for that assessment year that exceeds one
31 hundred fifty thousand dollars.

32 (3) For valuations established for the assessment year
33 beginning January 1, 2027, and each assessment year thereafter,
34 the portion of actual value at which each property unit of
35 industrial property shall be assessed shall be the sum of the

1 following:

2 (a) An amount equal to the product of the assessment
3 limitation percentage applicable to residential property under
4 subsection 4 for that assessment year multiplied by the actual
5 value of the property that exceeds zero dollars but does not
6 exceed one hundred fifty thousand dollars.

7 (b) An amount equal to one hundred percent of the actual
8 value of the property for that assessment year that exceeds one
9 hundred fifty thousand dollars.

10 d. For valuations established for the assessment year
11 beginning January 1, 2019, and each assessment year thereafter,
12 the percentages or portions of actual value at which property
13 is assessed, as determined under this subsection, shall not be
14 applied to the value of wind energy conversion property valued
15 under section 427B.26 the construction of which is approved by
16 the Iowa utilities commission on or after July 1, 2018.>

17 14. By striking page 44, line 12, through page 45, line 32,
18 and inserting:

19 <b. For valuations established for the assessment
20 year beginning January 1, 2027, and each assessment year
21 thereafter, the percentage of actual value as equalized by the
22 department of revenue as provided in section 441.49 at which
23 multiresidential property shall be assessed shall be eighty
24 percent.>

25 15. Page 48, after line 9 by inserting:

26 <Sec. _____. Section 441.33, Code 2026, is amended by adding
27 the following new subsection:

28 NEW SUBSECTION. 3. Ex parte communications with board of
29 review members are prohibited in protests before the board.>

30 16. Page 53, lines 15 and 16, by striking <and the exemption
31 under subsection 1B, if applicable,>

32 17. Page 53, line 27, by striking <subsections> and
33 inserting <subsection>

34 18. By striking page 53, line 28, through page 55, line 10,
35 and inserting:

1 <NEW SUBSECTION. 1A. a. (1) Except as provided in
2 subparagraph (2), for the assessment year beginning January 1,
3 2026, an exemption from taxation of five percent of taxable
4 value, but not less than four thousand eight hundred fifty
5 dollars in taxable value and not to exceed an exemption of
6 thirty-five thousand dollars in taxable value, shall be allowed
7 on each eligible homestead.

8 (2) (a) For an owner that has attained the age of sixty
9 years but has not yet attained the age of seventy by January 1
10 of the assessment year, the amount of the exemption shall be
11 sixty percent of taxable value, not to exceed an exemption of
12 three hundred fifty thousand dollars in taxable value.

13 (b) For an owner that has attained the age of seventy years
14 but has not yet attained the age of eighty by January 1 of the
15 assessment year, the amount of the exemption shall be seventy
16 percent of taxable value, not to exceed an exemption of three
17 hundred fifty thousand dollars in taxable value.

18 (c) For an owner that has attained the age of eighty years
19 but has not yet attained the age of ninety by January 1 of the
20 assessment year, the amount of the exemption shall be eighty
21 percent of taxable value, not to exceed an exemption of three
22 hundred fifty thousand dollars in taxable value.

23 (d) For an owner that has attained the age of ninety years
24 but has not yet attained the age of one hundred by January 1
25 of the assessment year, the amount of the exemption shall be
26 ninety percent of taxable value, not to exceed an exemption of
27 three hundred fifty thousand dollars in taxable value.

28 (e) For an owner that has attained the age of one hundred
29 years by January 1 of the assessment year, the amount of the
30 exemption shall be one hundred percent of taxable value, not
31 to exceed an exemption of three hundred fifty thousand dollars
32 in taxable value.

33 b. (1) Except as provided in subparagraph (2), for each
34 assessment year beginning on or after January 1, 2027, an
35 exemption from taxation of fifteen percent of taxable value,

1 but not less than four thousand eight hundred fifty dollars in
2 taxable value and not to exceed an exemption of one hundred
3 fifty thousand dollars in taxable value, shall be allowed on
4 each eligible homestead.>

5 19. Page 55, after line 35 by inserting:

6 <c. (1) For the assessment year beginning January 1,
7 2028, and for each subsequent assessment year, the maximum
8 exemption amounts under paragraph "b" shall be multiplied by
9 the cumulative adjustment factor for that assessment year.
10 "*Cumulative adjustment factor*" means the product of the annual
11 adjustment factor for the assessment year beginning January
12 1, 2027, and all annual adjustment factors for subsequent
13 assessment years. The cumulative adjustment factor applies to
14 the assessment year beginning in the calendar year for which
15 the latest annual adjustment factor has been determined.

16 (2) The annual adjustment factor for the assessment year
17 beginning January 1, 2027, is one hundred percent. For each
18 subsequent assessment year, the annual adjustment factor equals
19 the annual inflation factor for the calendar year, in which
20 the assessment year begins, as computed in section 422.4 for
21 purposes of the individual income tax.

22 (3) The cumulative adjustment factor shall be determined
23 annually by the department of revenue.>

24 20. By striking page 56, line 1, through page 57, line 5.

25 21. Page 60, after line 14 by inserting:

26 <Sec. _____. Section 425.17, subsection 4, Code 2026, is
27 amended to read as follows:

28 4. "*Homestead*" means the dwelling owned or rented and
29 actually used as a home by the claimant during the period
30 specified in [subsection 2](#), and so much of the land surrounding
31 it including one or more contiguous lots or tracts of land,
32 as is reasonably necessary for use of the dwelling as a home,
33 but not exceeding one-half acre, and may consist of a part of
34 a multidwelling or multipurpose building and a part of the
35 land upon which it is built. It does not include personal

1 property except that a manufactured or mobile home may be
2 a homestead. Any dwelling or a part of a multidwelling or
3 multipurpose building which is exempt from taxation, except
4 for an exemption under [section 425.1A](#), does not qualify as a
5 homestead under [this subchapter](#). However, solely for purposes
6 of claimants living in a property and receiving reimbursement
7 for rent constituting property taxes paid immediately before
8 the property becomes tax exempt, and continuing to live in it
9 after it becomes tax exempt, the property shall continue to
10 be classified as a homestead. A homestead must be located
11 in this state. When a person is confined in a nursing home,
12 extended-care facility, or hospital, the person shall be
13 considered as occupying or living in the person's homestead
14 if the person is the owner of the homestead and the person
15 maintains the homestead and does not lease, rent, or otherwise
16 receive profits from other persons for the use of the
17 homestead.>

18 22. By striking page 61, line 35, through page 64, line 7,
19 and inserting:

20 <Sec. _____. Section 347.7, Code 2026, is amended by adding
21 the following new subsection:

22 NEW SUBSECTION. 3A. a. (1) For the fiscal year beginning
23 July 1, 2027, and the fiscal year beginning July 1, 2028, any
24 property tax levy imposed for a county hospital under this
25 chapter that is limited by law to a specific property tax
26 levy rate per one thousand dollars of assessed value shall
27 not exceed a levy rate per one thousand dollars of assessed
28 value that is equal to one thousand multiplied by the quotient
29 obtained by dividing one hundred one and three-fourths percent
30 of the current fiscal year's actual property tax dollars
31 certified for such levy by the remainder of the total assessed
32 value used to calculate such taxes for the budget year minus
33 value attributable to new valuation.

34 (2) For fiscal years beginning on or after July 1, 2029,
35 any property tax levy imposed for a county hospital under

1 this chapter that is limited by law to a specific property
2 tax levy rate per one thousand dollars of assessed value
3 shall not exceed a levy rate per one thousand dollars of
4 assessed value that is equal to one thousand multiplied by the
5 quotient obtained by dividing one hundred five percent of the
6 current fiscal year's actual property tax dollars certified
7 for such levy by the remainder of the total assessed value
8 used to calculate such taxes for the budget year minus value
9 attributable to new valuation.

10 *b.* For purposes of this subsection, "*budget year*", "*current*
11 *fiscal year*", and "*new valuation*" mean the same as defined in
12 section 331.423.

13 Sec. _____. Section 347A.3, Code 2026, is amended by adding
14 the following new subsection:

15 NEW SUBSECTION. 3. *a.* (1) For the fiscal year beginning
16 July 1, 2027, and the fiscal year beginning July 1, 2028, any
17 property tax levy imposed for a county hospital under this
18 chapter that is limited by law to a specific property tax
19 levy rate per one thousand dollars of assessed value shall
20 not exceed a levy rate per one thousand dollars of assessed
21 value that is equal to one thousand multiplied by the quotient
22 obtained by dividing one hundred one and three-fourths percent
23 of the current fiscal year's actual property tax dollars
24 certified for such levy by the remainder of the total assessed
25 value used to calculate such taxes for the budget year minus
26 value attributable to new valuation.

27 (2) For fiscal years beginning on or after July 1, 2029,
28 any property tax levy imposed for a county hospital under
29 this chapter that is limited by law to a specific property
30 tax levy rate per one thousand dollars of assessed value
31 shall not exceed a levy rate per one thousand dollars of
32 assessed value that is equal to one thousand multiplied by the
33 quotient obtained by dividing one hundred five percent of the
34 current fiscal year's actual property tax dollars certified
35 for such levy by the remainder of the total assessed value

1 used to calculate such taxes for the budget year minus value
2 attributable to new valuation.

3 *b.* For purposes of this subsection, "*budget year*", "*current*
4 *fiscal year*", and "*new valuation*" mean the same as defined in
5 section 331.423.

6 Sec. _____. Section 357F.8, Code 2026, is amended by adding
7 the following new subsection:

8 NEW SUBSECTION. 3. *a.* (1) For the fiscal year beginning
9 July 1, 2027, and the fiscal year beginning July 1, 2028, any
10 property tax levy imposed for the district under this chapter
11 that is limited by law to a specific property tax levy rate per
12 one thousand dollars of assessed value shall not exceed a levy
13 rate per one thousand dollars of assessed value that is equal
14 to one thousand multiplied by the quotient obtained by dividing
15 one hundred one and three-fourths percent of the current fiscal
16 year's actual property tax dollars certified for such levy by
17 the remainder of the total assessed value used to calculate
18 such taxes for the budget year minus value attributable to new
19 valuation.

20 (2) For fiscal years beginning on or after July 1, 2029, any
21 property tax levy imposed for the district under this chapter
22 that is limited by law to a specific property tax levy rate per
23 one thousand dollars of assessed value shall not exceed a levy
24 rate per one thousand dollars of assessed value that is equal
25 to one thousand multiplied by the quotient obtained by dividing
26 one hundred five percent of the current fiscal year's actual
27 property tax dollars certified for such levy by the remainder
28 of the total assessed value used to calculate such taxes for
29 the budget year minus value attributable to new valuation.

30 *b.* For purposes of this subsection, "*budget year*", "*current*
31 *fiscal year*", and "*new valuation*" mean the same as defined in
32 section 331.423.

33 Sec. _____. Section 357G.8, Code 2026, is amended by adding
34 the following new subsection:

35 NEW SUBSECTION. 3. *a.* (1) For the fiscal year beginning

1 July 1, 2027, and the fiscal year beginning July 1, 2028, any
2 property tax levy imposed for the district under this chapter
3 that is limited by law to a specific property tax levy rate per
4 one thousand dollars of assessed value shall not exceed a levy
5 rate per one thousand dollars of assessed value that is equal
6 to one thousand multiplied by the quotient obtained by dividing
7 one hundred one and three-fourths percent of the current fiscal
8 year's actual property tax dollars certified for such levy by
9 the remainder of the total assessed value used to calculate
10 such taxes for the budget year minus value attributable to new
11 valuation.

12 (2) For fiscal years beginning on or after July 1, 2029, any
13 property tax levy imposed for the district under this chapter
14 that is limited by law to a specific property tax levy rate per
15 one thousand dollars of assessed value shall not exceed a levy
16 rate per one thousand dollars of assessed value that is equal
17 to one thousand multiplied by the quotient obtained by dividing
18 one hundred five percent of the current fiscal year's actual
19 property tax dollars certified for such levy by the remainder
20 of the total assessed value used to calculate such taxes for
21 the budget year minus value attributable to new valuation.

22 *b.* For purposes of this subsection, "*budget year*", "*current*
23 *fiscal year*", and "*new valuation*" mean the same as defined in
24 section 384.1.

25 Sec. _____. NEW SECTION. **422D.5A Levy limitation.**

26 1. *a.* For the fiscal year beginning July 1, 2027, and
27 the fiscal year beginning July 1, 2028, any property tax levy
28 imposed under this chapter that is limited by law to a specific
29 property tax levy rate per one thousand dollars of assessed
30 value shall not exceed a levy rate per one thousand dollars of
31 assessed value that is equal to one thousand multiplied by the
32 quotient obtained by dividing one hundred one and three-fourths
33 percent of the current fiscal year's actual property tax
34 dollars certified for such levy by the remainder of the total
35 assessed value used to calculate such taxes for the budget year

1 minus value attributable to new valuation.

2 **b.** For fiscal years beginning on or after July 1, 2029,
3 any property tax levy imposed under this chapter that is
4 limited by law to a specific property tax levy rate per one
5 thousand dollars of assessed value shall not exceed a levy rate
6 per one thousand dollars of assessed value that is equal to
7 one thousand multiplied by the quotient obtained by dividing
8 one hundred five percent of the current fiscal year's actual
9 property tax dollars certified for such levy by the remainder
10 of the total assessed value used to calculate such taxes for
11 the budget year minus value attributable to new valuation.

12 2. For purposes of this section, "*budget year*", "*current*
13 *fiscal year*", and "*new valuation*" mean the same as defined in
14 section 331.423.>

15 23. Page 65, line 5, after <rate> by inserting <for a fiscal
16 year beginning on or after July 1, 2027, expressed in statute
17 as a specific amount of money due other than a calculated
18 amount,>

19 24. Page 65, line 6, by striking <taxes, but does not> and
20 inserting <taxes. This paragraph shall not be construed to>

21 25. Page 65, line 25, after <2.> by inserting <a.>

22 26. Page 65, line 25, after <2027,> by inserting <and the
23 fiscal year beginning July 1, 2028,>

24 27. Page 65, lines 27 and 28, by striking <fiscal year
25 beginning July 1, 2026,> and inserting <immediately preceding
26 fiscal year,>

27 28. Page 65, line 31, by striking <two> and inserting <one
28 and three-fourths>

29 29. Page 66, lines 3 and 4, by striking <fiscal year
30 beginning July 1, 2026> and inserting <immediately preceding
31 fiscal year>

32 30. Page 66, after line 4 by inserting:

33 <b. For the fiscal year beginning July 1, 2029, each
34 rate-limited property tax levy may only be imposed if the
35 governmental entity imposed such levy for the immediately

1 preceding fiscal year, and shall, by operation of this section,
2 be limited to a levy rate per one thousand dollars of assessed
3 value that is equal to one thousand multiplied by the quotient
4 of one hundred two percent of the current fiscal year's actual
5 property tax dollars certified for such levy divided by the
6 total assessed value used to calculate such taxes for the
7 budget year, but not less than a levy rate per one thousand
8 dollars of assessed value that results in an amount of actual
9 property tax dollars certified for levy for such levy equal to
10 one hundred and one-half percent of the actual property tax
11 dollars certified for such levy for the immediately preceding
12 fiscal year.>

13 31. Page 66, line 5, by striking <2028> and inserting <2030>

14 32. Page 66, line 9, by striking <fiscal year beginning July
15 1, 2026,> and inserting <immediately preceding fiscal year,>

16 33. Page 67, by striking lines 15 through 21 and inserting
17 <rates of property taxation imposed by governmental entities.>

18 34. By striking page 67, line 34, through page 68, line
19 2, and inserting <rates of property taxation imposed by
20 governmental entities, no later than January 15, 2028.>

21 35. Page 68, line 20, by striking <one-half> and inserting
22 <one-fourth>

23 36. Page 75, line 6, after <2027,> by inserting <and the
24 fiscal year beginning July 1, 2028,>

25 37. Page 75, line 12, by striking <two> and inserting <one
26 and three-fourths>

27 38. Page 75, line 18, by striking <2028> and inserting
28 <2029>

29 39. Page 76, line 33, by striking <eighty> and inserting
30 <eighty-eight>

31 40. Page 77, line 9, by striking <eighty> and inserting
32 <eighty-eight>

33 41. Page 77, by striking lines 11 through 20 and inserting:
34 <b. (1) For the fiscal year beginning July 1, 2027, and
35 the fiscal year beginning July 1, 2028, the sum of property tax

1 dollars levied for the regional transit district under this
2 subsection and property tax dollars received by the regional
3 transit district from participating cities and counties shall
4 not exceed an amount equal to one hundred one and three-fourths
5 percent of the sum of property tax dollars levied for the
6 regional transit district under this subsection for the
7 immediately preceding fiscal year and property tax dollars
8 received by the regional transit district from participating
9 cities and counties for the immediately preceding fiscal year.

10 (2) For each fiscal year beginning on or after July 1,
11 2029, the sum of property tax dollars levied for the regional
12 transit district under this subsection and property tax dollars
13 received by the regional transit district from participating
14 cities and counties shall not exceed an amount equal to one
15 hundred five percent of the sum of property tax dollars levied
16 for the regional transit district under this subsection for
17 the immediately preceding fiscal year and property tax dollars
18 received by the regional transit district from participating
19 cities and counties for the immediately preceding fiscal year.>

20 42. Page 77, line 27, by striking <eighty> and inserting
21 <eighty-eight>

22 43. Page 77, by striking lines 30 through 35 and inserting
23 <the levy rate limitation, for the fiscal year beginning July
24 1, 2027, and the fiscal year beginning July 1, 2028, the sum of
25 property tax dollars levied for the municipal transit system
26 under this paragraph shall not exceed an amount equal to one
27 hundred one and three-fourths percent of the sum of property
28 tax dollars levied for the municipal transit system under
29 this paragraph for the immediately preceding fiscal year. In
30 addition to the levy rate limitation, for each fiscal year
31 beginning on or after July 1, 2029, the sum of property tax
32 dollars levied for the municipal transit system under this
33 paragraph shall not exceed an amount equal to one hundred
34 five percent of the sum of property tax dollars levied for
35 the municipal transit system under this paragraph for the

1 immediately preceding fiscal year.>
2 44. Page 78, line 4, by striking <eighty> and inserting
3 <eighty-eight>
4 45. Page 83, line 7, after <CENTERS> by inserting <AND WEB
5 SEARCH PORTAL BUSINESSES>
6 46. Page 83, line 24, after <center> by inserting <or a
7 qualified web search portal business>
8 47. Page 83, line 25, after <center> by inserting <or a
9 qualified web search portal business>
10 48. Page 84, line 1, after <Act.> by inserting <For purposes
11 of this paragraph, "qualified web search portal business" means
12 a web search portal business, as defined in section 423.3,
13 subsection 92 or 93, for which site preparation activities, as
14 defined in section 423.3, subsection 95, began on or after the
15 effective date of this division of this Act.>
16 49. By striking page 84, line 7, through page 93, line 35,
17 and inserting:
18

<DIVISION ____

19

FIRSTHOME IOWA ACCOUNTS

20 Sec. _____. Section 12G.2, Code 2026, is amended by adding the
21 following new subsection:
22 NEW SUBSECTION. 6. Create strategies for coordination of
23 the program with the FirstHome Iowa program trust established
24 in chapter 12L.
25 Sec. _____. NEW SECTION. 12L.1 **FirstHome Iowa program —**
26 **purpose and definitions.**
27 1. The general assembly finds that the general welfare and
28 well-being of the state are directly related to homeownership
29 of the citizens of the state, and that a vital and valid
30 public purpose is served by the creation and implementation
31 of programs which encourage and make possible the attainment
32 of homeownership by the greatest number of citizens of the
33 state. The general welfare of the citizens of the state will
34 be enhanced by establishing a FirstHome Iowa program which
35 allows citizens of the state to invest money in a public trust

1 for future application to the payment of qualified homebuyer
2 expenses. The creation of the means of encouragement for
3 citizens to invest in such a program represents the carrying
4 out of a vital and valid public purpose. In order to make
5 available to the citizens of the state an opportunity to fund
6 future first-time homeownership, it is necessary that a public
7 trust be established in which moneys may be invested for future
8 use.

9 2. As used in this chapter, unless the context otherwise
10 requires:

11 a. *"Administrative fund"* means the administrative fund
12 established under section 12L.4.

13 b. *"Beneficiary"* means the individual designated by a
14 participation agreement to benefit from advance payments of
15 qualified homebuyer expenses on behalf of the beneficiary.

16 c. *"First-time homebuyer"* means an individual who is a
17 resident of Iowa and who does not own, either individually or
18 jointly, a single-family or multifamily residence, and who
19 has not previously owned or purchased, either individually or
20 jointly, a single-family or multifamily residence prior to the
21 date of the qualified purchase for which the eligible home
22 costs are paid or reimbursed from an account.

23 d. *"FirstHome Iowa program trust"* or *"trust"* means the trust
24 created under section 12L.2.

25 e. *"FirstHome Iowa program trust account"* or *"account"*
26 means an account within the trust that was established for
27 the purpose of paying or reimbursing a beneficiary's eligible
28 qualified homebuyer expenses in connection with a qualified
29 purchase.

30 f. *"Individual"* means a natural person.

31 g. *"Participant"* means an individual, individual's legal
32 representative, trust, or estate that has entered into a
33 participation agreement under this chapter, either individually
34 or jointly with the individual's spouse, for the advance
35 payment of qualified homebuyer expenses on behalf of a

1 beneficiary.

2 *h. "Participation agreement"* means an agreement between a
3 participant and the trust entered into under this chapter.

4 *i. "Program fund"* means the program fund established under
5 section 12L.4.

6 *j. "Qualified homebuyer expenses"* means any of the
7 following:

8 (1) A down payment or closing costs for the qualified
9 purchase of a single-family residence in Iowa that is to be the
10 homestead, as defined in section 425.11, of the beneficiary if
11 such beneficiary is a first-time homebuyer with respect to such
12 purchase.

13 (2) A cost, fee, tax, or payment incurred by, or charged
14 or assigned to, a beneficiary as part of the purchase under
15 subparagraph (1) and listed on the statement of receipts and
16 disbursements for the sale, including any statement prescribed
17 by 12 C.F.R. §1026.38, as amended.

18 (3) Any United States veterans administration funding
19 fee incurred by, or charged or assigned to, a beneficiary in
20 connection with a veterans administration home loan guaranty
21 program.

22 *k. "Qualified purchase"* means the purchase of a
23 single-family residence in Iowa by the account's beneficiary
24 for which the account's beneficiary will use as a homestead, as
25 defined in section 425.11, one year or more after the date the
26 participant first opened the account.

27 *l. "Resident"* means the same as defined in section 422.4.

28 *m. "Single-family residence"* means a single-family residence
29 owned and occupied by a beneficiary as the beneficiary's
30 homestead within the meaning of section 425.1, including but
31 not limited to a manufactured home, mobile home, condominium
32 unit, or cooperative.

33 Sec. _____. NEW SECTION. 12L.2 **Creation of FirstHome Iowa**
34 **program trust.**

35 A FirstHome Iowa program trust is created. The treasurer of

1 state is the trustee of the trust, and has all powers necessary
2 to carry out and effectuate the purposes, objectives, and
3 provisions of this chapter pertaining to the trust, including
4 the power to do all of the following:

- 5 1. Make and enter into contracts necessary for the
6 administration of the trust created under this chapter.
- 7 2. Enter into agreements with any financial institution,
8 the state, or any federal or other state agency, or other
9 entity as required to implement this chapter.
- 10 3. Carry out the duties and obligations of the trust
11 pursuant to this chapter.
- 12 4. Accept any grants, gifts, legislative appropriations,
13 and other moneys from the state, any unit of federal, state, or
14 local government, or any other person, firm, partnership, or
15 corporation which the treasurer of state shall deposit into the
16 administrative fund or the program fund.
- 17 5. Carry out studies and projections so the treasurer of
18 state may advise participants regarding present and estimated
19 future qualified homebuyer expenses and levels of financial
20 participation in the trust required in order to enable
21 participants to achieve their qualifying purchase objectives.
- 22 6. Participate in any federal, state, or local governmental
23 program for the benefit of the trust.
- 24 7. Procure insurance against any loss in connection with the
25 property, assets, or activities of the trust.
- 26 8. Enter into participation agreements with participants.
- 27 9. Make payments to or on behalf of beneficiaries for
28 qualified homebuyer expenses pursuant to participation
29 agreements.
- 30 10. Make refunds to participants upon the termination
31 of participation agreements, and partial nonqualified
32 distributions to participants, pursuant to the provisions,
33 limitations, and restrictions set forth in this chapter.
- 34 11. Invest moneys from the program fund in any investments
35 which are determined by the treasurer of state to be

1 appropriate.

2 12. Engage investment advisors, if necessary, to assist in
3 the investment of trust assets.

4 13. Contract for goods and services and engage personnel
5 as necessary, including consultants, actuaries, managers,
6 legal counsel, and auditors for the purpose of rendering
7 professional, managerial, and technical assistance and advice
8 to the treasurer of state regarding trust administration and
9 operation.

10 14. Establish, impose, and collect administrative fees
11 and charges in connection with transactions of the trust for
12 deposit in the administrative fund and provide for reasonable
13 service charges.

14 15. Administer the funds of the trust.

15 16. Adopt rules pursuant to chapter 17A for the
16 administration of the trust.

17 Sec. _____. NEW SECTION. 12L.3 Participation agreements for
18 trust.

19 The trust may enter into participation agreements with
20 participants on behalf of beneficiaries pursuant to the
21 following terms and agreements:

22 1. Each participation agreement may require a participant
23 to agree to invest a specific amount of money in the trust
24 for a specific period of time for the benefit of a specific
25 beneficiary. A participant shall not be required to make an
26 annual contribution on behalf of a beneficiary. The maximum
27 contribution that may be deducted for Iowa income tax purposes
28 shall be the amount contributed by the participant during the
29 applicable tax year, not to exceed five thousand five hundred
30 dollars per beneficiary per year adjusted annually to reflect
31 increases in the consumer price index.

32 2. The execution of a participation agreement by the
33 trust shall not guarantee in any way that qualified homebuyer
34 expenses will be equal to projections and estimates provided by
35 the trust or that the beneficiary named in any participation

1 agreement will qualify for a mortgage, home loan, or other
2 forms of credit for a qualified purchase.

3 3. a. A beneficiary under a participation agreement may be
4 changed as permitted under rules adopted by the treasurer of
5 state upon written request of the participant as long as the
6 substitute beneficiary is eligible for participation.

7 b. Participation agreements may otherwise be freely amended
8 throughout their terms in order to enable participants to
9 increase or decrease the level of participation, change the
10 designation of beneficiaries, and carry out similar matters as
11 authorized by rule.

12 4. Each participation agreement shall provide that the
13 participation agreement may be canceled upon the terms and
14 conditions, and upon payment of applicable fees and costs set
15 forth and contained in the rules adopted by the treasurer of
16 state.

17 5. A participant may designate a successor in accordance
18 with rules adopted by the treasurer of state. The designated
19 successor shall succeed to the ownership of the account in
20 the event of the death of the participant. In the event a
21 participant dies and has not designated a successor to the
22 account, the following criteria shall apply:

23 a. The beneficiary of the account, if eighteen years of
24 age or older, shall become the owner of the account as well as
25 remain the beneficiary upon filing the appropriate forms in
26 accordance with rules adopted by the treasurer of state.

27 b. If the beneficiary of the account is under the age of
28 eighteen, account ownership shall be transferred to the first
29 surviving parent or other legal guardian of the beneficiary to
30 file the appropriate forms in accordance with rules adopted by
31 the treasurer of state.

32 Sec. _____. NEW SECTION. 12L.4 FirstHome Iowa program and
33 administrative funds — investment and payments.

34 1. a. The treasurer of state shall segregate moneys
35 received by the trust into two funds: the FirstHome Iowa

1 program fund and the administrative fund to be used for
2 administration of the program.

3 *b.* All moneys paid by participants in connection with
4 participation agreements shall be deposited as received into
5 separate accounts within the program fund.

6 *c.* Contributions to the trust made by participants may only
7 be made in the form of cash.

8 *d.* A participant or beneficiary may, directly or indirectly,
9 direct the investment of any contributions to the trust or any
10 earnings thereon no more than four times in a calendar year.

11 2. Moneys accrued by participants in the program fund of the
12 trust may be used for payments to or on behalf of a beneficiary
13 for qualified homebuyer expenses.

14 Sec. _____. NEW SECTION. 12L.5 Cancellation of agreements.

15 A participant may cancel a participation agreement at will.
16 Upon cancellation of a participation agreement, a participant
17 shall be entitled to the return of the participant's account
18 balance.

19 Sec. _____. NEW SECTION. 12L.6 Ownership of payments and
20 investment income — transfer of ownership rights.

21 1. *a.* A participant retains ownership of all payments
22 made under a participation agreement up to the date of
23 utilization for payment of qualified homebuyer expenses for the
24 beneficiary.

25 *b.* All income derived from the investment of the payments
26 made by the participant shall be considered to be held in trust
27 for the benefit of the beneficiary.

28 2. In the event the FirstHome Iowa program is terminated
29 prior to payment of qualified homebuyer expenses for the
30 beneficiary, the participant is entitled to a refund of the
31 participant's account balance.

32 3. Any amounts which may be paid to any person or persons
33 pursuant to the FirstHome Iowa program trust but which are not
34 listed in this section are owned by the trust.

35 4. A participant may transfer ownership rights to another

1 participant or may transfer funds to another account under the
2 trust. The transfer shall be made and the property distributed
3 in accordance with rules adopted by the treasurer of state or
4 with the terms of the participation agreement.

5 5. A participant shall not be entitled to utilize any
6 interest in the trust as security for a loan.

7 Sec. _____. NEW SECTION. 12L.7 Annual audited financial
8 report to governor and general assembly.

9 1. a. The treasurer of state shall submit an annual
10 audited financial report, prepared in accordance with generally
11 accepted accounting principles, on the operations of the trust
12 by November 1 to the governor and the general assembly.

13 b. The annual audit shall be made either by the auditor
14 of state or by an independent certified public accountant
15 designated by the auditor of state and shall include direct and
16 indirect costs attributable to the use of outside consultants,
17 independent contractors, and any other persons who are not
18 state employees.

19 2. The annual audit shall be supplemented by all of the
20 following information prepared by the treasurer of state:

21 a. Any related studies or evaluations prepared in the
22 preceding year.

23 b. A summary of the benefits provided by the trust including
24 the number of participants and beneficiaries in the trust.

25 c. Any other information which is relevant in order to make
26 a full, fair, and effective disclosure of the operations of the
27 trust.

28 Sec. _____. NEW SECTION. 12L.8 Tax considerations.

29 State income tax treatment of the FirstHome Iowa program
30 trust shall be as provided in section 422.7, subsections 46 and
31 47.

32 Sec. _____. NEW SECTION. 12L.9 Property rights to assets in
33 trust.

34 1. The assets of the trust shall at all times be preserved,
35 invested, and expended solely and only for the purposes of

1 the trust and shall be held in trust for the participants and
2 beneficiaries.

3 2. No property rights in the trust shall exist in favor of
4 the state.

5 3. The assets of the trust shall not be transferred or used
6 by the state for any purposes other than the purposes of the
7 trust.

8 Sec. _____. NEW SECTION. 12L.10 Construction.

9 This chapter shall be construed liberally in order to
10 effectuate its purpose.

11 Sec. _____. Section 232D.503, subsection 6, Code 2026, is
12 amended by adding the following new paragraph:

13 NEW PARAGRAPH. g. A FirstHome Iowa program trust account
14 established for the minor pursuant to chapter 12L.

15 Sec. _____. Section 422.7, Code 2026, is amended by adding the
16 following new subsections:

17 NEW SUBSECTION. 46. a. Subtract the contribution that may
18 be deducted for Iowa income tax purposes as a participant in
19 the FirstHome Iowa program trust pursuant to section 12L.3,
20 subsection 1. For purposes of this paragraph, a participant
21 who makes a contribution on or before the date prescribed in
22 section 422.21 for making and filing an individual income tax
23 return, excluding extensions, or the date for making and filing
24 an individual income tax return determined by the director
25 pursuant to an order issued under section 421.17, subsection
26 30, may elect to be deemed to have made the contribution on the
27 last day of the preceding calendar year. The director, after
28 consultation with the treasurer of state, shall prescribe by
29 rule the manner and method by which a participant may make an
30 election authorized by the preceding sentence.

31 b. Add the amount resulting from the cancellation of
32 a participation agreement refunded to the taxpayer as a
33 participant in the FirstHome Iowa program trust to the extent
34 previously deducted as a contribution to the trust.

35 c. Add, to the extent previously deducted as a contribution

1 to the trust, the amount resulting from a withdrawal or
2 transfer made by the taxpayer from the FirstHome Iowa program
3 trust for purposes other than the payment of qualified
4 homebuyer expenses.

5 NEW SUBSECTION. 47. Subtract, to the extent included,
6 income from interest and earnings received from the FirstHome
7 Iowa program trust created in chapter 12L.

8 Sec. _____. Section 541B.4, Code 2026, is amended by adding
9 the following new subsections:

10 NEW SUBSECTION. 5. *Withdrawal for deposit into FirstHome*
11 *Iowa program trust account.* First-time homebuyer account
12 balances under this chapter may be withdrawn without penalty or
13 taxation in this state if such withdrawal is deposited in an
14 account within the FirstHome Iowa program trust under chapter
15 12L within thirty days of the withdrawal. The treasurer of
16 state may by rule provide for the direct transfer of moneys
17 within an account under this chapter to a FirstHome Iowa
18 program trust account and such transfer shall not be subject to
19 penalty or taxation in this state.

20 NEW SUBSECTION. 6. *No new accounts.* New accounts shall not
21 be established under this chapter on or after July 1, 2026.

22 Sec. _____. Section 627.6, Code 2026, is amended by adding the
23 following new subsection:

24 NEW SUBSECTION. 18. The debtor's interest, whether as
25 participant or beneficiary, in contributions and assets,
26 including the accumulated earnings and market increases in
27 value, held in an account in the FirstHome Iowa program trust
28 organized under chapter 12L.

29 Sec. _____. Section 633.108, subsection 2, Code 2026, is
30 amended by adding the following new paragraph:

31 NEW PARAGRAPH. e. A FirstHome Iowa program trust account
32 established for the minor pursuant to chapter 12L.

33 Sec. _____. Section 633.555, subsection 1, Code 2026, is
34 amended by adding the following new paragraph:

35 NEW PARAGRAPH. f. An account owner or participant under

1 a FirstHome Iowa program trust account established for the
2 protected person pursuant to chapter 12L.

3 Sec. _____. Section 633.678, subsection 1, Code 2026, is
4 amended by adding the following new paragraph:

5 NEW PARAGRAPH. *f.* An account owner or participant under
6 a FirstHome Iowa program trust account established for the
7 protected person pursuant to chapter 12L.

8 Sec. _____. Section 633.681, subsection 1, Code 2026, is
9 amended by adding the following new paragraph:

10 NEW PARAGRAPH. *e.* An account owner or participant under
11 a FirstHome Iowa program trust account established for the
12 protected person pursuant to chapter 12L.

13 Sec. _____. APPLICABILITY. The following applies to
14 contributions made under chapter 12L on or after July 1, 2026,
15 for tax years ending on or after that date:

16 The section of this division of this Act enacting section
17 422.7, subsections 46 and 47.>

18 50. Page 96, after line 32 by inserting:

19 <DIVISION ____

20 PROPERTY TAX EXEMPTIONS — IMPOUNDMENT STRUCTURES AND
21 SPECULATIVE SHELL BUILDINGS

22 Sec. _____. Section 331.401, subsection 1, paragraph i, Code
23 2026, is amended by striking the paragraph.

24 Sec. _____. Section 427.1, subsections 20 and 27, Code 2026,
25 are amended by striking the subsections.

26 Sec. _____. EFFECTIVE DATE. This division of this Act takes
27 effect January 1, 2031.

28 Sec. _____. APPLICABILITY. This division of this Act applies
29 to assessment years beginning on or after January 1, 2031.

30 DIVISION ____

31 SCHOOL DISTRICT UNSPENT BALANCES — ON-TIME FUNDING AND
32 MODIFIED SUPPLEMENTAL AMOUNTS

33 Sec. _____. Section 257.7, Code 2026, is amended by adding the
34 following new subsection:

35 NEW SUBSECTION. 3. *Unspent balances.* For school budget

1 years beginning on or after July 1, 2026, a school district's
2 actual unspent balance from the preceding year used to
3 calculate the authorized budget under subsection 1 shall
4 not exceed an amount equal to thirty-five percent of the
5 school district's authorized expenditures for the budget year
6 immediately preceding the base year unless a greater amount
7 is authorized by the school budget review committee based on
8 one or more grounds authorized for the approval of a modified
9 supplemental amount under section 257.31.

10 Sec. _____. Section 257.13, Code 2026, is amended to read as
11 follows:

12 **257.13 On-time ~~funding~~ budget adjustment.**

13 1. a. For the school budget year beginning July 1, 2001,
14 and succeeding budget years beginning before July 1, 2026, if a
15 district's actual enrollment for the budget year, determined
16 under section 257.6, is greater than its budget enrollment for
17 the budget year, the district shall be eligible to receive an
18 on-time ~~funding~~ budget adjustment. The adjustment shall be in
19 an amount equal to the difference between the actual enrollment
20 for the budget year and the budget enrollment for the budget
21 year, multiplied by the district cost per pupil.

22 ~~2.~~ b. The board of directors of a school district that
23 wishes to receive an on-time ~~funding~~ budget adjustment under
24 this subsection shall adopt a resolution to receive the
25 adjustment and notify the school budget review committee
26 annually, but not earlier than November 1, as determined by the
27 department of education. The school budget review committee
28 shall establish a modified supplemental amount pursuant to
29 subsection 1 paragraph "a".

30 2. a. For the school budget years beginning on or after
31 July 1, 2026, if a district's actual enrollment for the budget
32 year, determined under section 257.6, is greater than its
33 budget enrollment for the budget year, the district may request
34 an on-time budget adjustment. The adjustment shall not exceed
35 an amount equal to the difference between the actual enrollment

1 for the budget year and the budget enrollment for the budget
2 year, multiplied by the district cost per pupil.

3 b. To request an on-time budget adjustment under this
4 subsection, the board of directors of a school district shall
5 adopt a resolution to receive the adjustment and notify the
6 school budget review committee on or before a date established
7 by the committee. The school budget review committee may
8 establish a modified supplemental amount pursuant to paragraph
9 "a".

10 3. If the board of directors of a school district determines
11 that a need exists for additional funds exceeding the on-time
12 ~~funding~~ budget adjustment pursuant to [this section](#), a request
13 for a modified supplemental amount based upon increased
14 enrollment may be submitted to the school budget review
15 committee as provided in [section 257.31](#).

16 Sec. _____. **NEW SECTION. 279.63A Unspent balance — policy.**

17 1. The board of directors of each school district shall
18 establish a policy that defines a targeted range and maximum
19 amount of unspent balance of authorized expenditures,
20 determined by a percent of authorized expenditures under
21 section 257.7 or other methodology specified in the policy.
22 The policy shall also state the date the policy was adopted
23 and the date the policy was most recently reviewed or revised
24 under subsection 2. The targeted range and maximum amount
25 established in the policy shall be made with the intent to
26 equalize educational opportunity, provide a good education
27 for all the children of the school district, provide property
28 tax relief, decrease the percentage of school costs paid from
29 property taxes, and to provide reasonable control of school
30 costs.

31 2. Targeted ranges and maximum amounts defined in the policy
32 under subsection 1 shall be reviewed annually by the board of
33 directors and such review shall be entered in the minutes of
34 the board and approved revisions shall be made to the policy.

35 Sec. _____. **EFFECTIVE DATE.** This division of this Act, being

1 deemed of immediate importance, takes effect upon enactment.

2 DIVISION ____

3 PROPERTY PARCEL INFORMATION

4 Sec. _____. Section 331.510, Code 2026, is amended by adding
5 the following new subsection:

6 NEW SUBSECTION. 5. *a.* An annual report not later
7 than January 1 to the department of management containing
8 parcel-level property data, including parcel identification
9 information, location, size, valuation, classification, types
10 of structures and improvements, exemptions, credits, historical
11 amounts of property taxes due and payable, and whether the
12 parcel is subject to a division of revenue.

13 *b.* In addition to the information required under paragraph
14 "*a*", the department of management may require additional
15 parcel-level data deemed necessary by the director of the
16 department of management. The department shall prescribe the
17 form and manner of submitting the annual report under this
18 subsection.

19 DIVISION ____

20 URBAN RENEWAL

21 Sec. _____. NEW SECTION. 403.18A Division of revenue
22 ordinances duration — limitations.

23 1. An ordinance providing for a division of revenue under
24 section 403.19 adopted before the effective date of this
25 division of this Act and that is not limited in duration under
26 section 403.17, subsection 10, or section 403.22, subsection 5,
27 shall be subject to the duration limitation in subsection 2.

28 2. *a.* A division of revenue ordinance described in
29 subsection 1 may continue in effect under this chapter until
30 such time that the urban renewal area is dissolved by the
31 municipality, the ordinance is repealed by the municipality, or
32 the ordinance terminates under the conditions of paragraph "*c*",
33 whichever occurs first.

34 *b.* A municipality shall not incur additional indebtedness
35 including loans, advances, and bonds, payable from the special

1 fund created in section 403.19 using revenue resulting from
2 the ordinance described under subsection 1 on or after the
3 effective date of this division of this Act. For the purposes
4 of this paragraph "b", the refinancing of indebtedness incurred
5 prior to the effective date of this division of this Act
6 shall not constitute an additional indebtedness, unless such
7 refinancing results in an increase in the amount of debt
8 service that qualifies for payment from the special fund or
9 extends the term for payment or retirement of the indebtedness.

10 c. An ordinance described in subsection 1 providing for a
11 division of revenue shall terminate and be of no further force
12 and effect at the conclusion of the fiscal year during which
13 the retirement or payment of all indebtedness payable from such
14 division of revenue in existence on the effective date of this
15 division of this Act occurs or after twenty years following
16 the effective date of this division of this Act, whichever
17 occurs first. Upon request filed by the municipality, the
18 department of management may extend the termination date under
19 this paragraph if such an extension is necessary to retire and
20 pay all indebtedness incurred prior to the effective date of
21 this division of this Act.

22 d. An ordinance described in subsection 1 or any applicable
23 urban renewal area shall not be amended on or after the
24 effective date of this division of this Act to include
25 territory that is not subject to the ordinance on the effective
26 date of this division of this Act.

27 3. The duration limits under this section and the
28 limitations on the duration of ordinances providing for a
29 division of revenue under section 403.19, subsection 3A, shall
30 not apply to divisions of taxes established by community
31 colleges under chapter 260E or rural improvement zones under
32 chapter 357H.

33 4. The department of management may adopt rules pursuant to
34 chapter 17A necessary to implement and administer this section.

35 Sec. _____. Section 403.19, subsection 2, paragraph a, Code

1 2026, is amended to read as follows:

2 a. That portion of the taxes each year in excess of such
3 amount shall be allocated to and when collected be paid into a
4 special fund of the municipality to pay the principal of and
5 interest on loans, moneys advanced to, or indebtedness, whether
6 funded, refunded, assumed, or otherwise, including bonds
7 issued under the authority of [section 403.9, subsection 1](#),
8 incurred by the municipality to finance or refinance, in whole
9 or in part, an urban renewal project within the area, and to
10 provide assistance for low and moderate income family housing
11 as provided in [section 403.22](#). However, except as provided
12 in paragraph "b", taxes for the regular and voter-approved
13 physical plant and equipment levy of a school district imposed
14 pursuant to [section 298.2](#); ~~and taxes for the instructional~~
15 ~~support program of a school district imposed pursuant to~~
16 ~~section 257.19~~; taxes for the payment of bonds and interest
17 of each taxing district; taxes levied against wind energy
18 conversion property, as defined in section 427B.26, for which
19 construction begins on or after the effective date of this
20 division of this Act; foundation property taxes of a school
21 district imposed under section 257.3 levied against property
22 upon which new construction or renovations begin on or after
23 the effective date of this division of this Act, unless such
24 construction or renovations were approved and subject to an
25 agreement adopted before January 1, 2027; taxes for emergency
26 medical services imposed pursuant to chapter 357F, 357G, or
27 422D; and taxes imposed under [section 346.27, subsection 22](#),
28 related to joint county-city buildings shall be collected
29 against all taxable property within the taxing district without
30 limitation by the provisions of [this subsection](#).

31 Sec. _____. Section 403.19, Code 2026, is amended by adding
32 the following new subsection:

33 NEW SUBSECTION. 3A. An ordinance providing for a division
34 of revenue under this section that is adopted on or after the
35 effective date of this division of this Act and that is not

1 limited in duration under section 403.17, subsection 10, or
2 section 403.22, subsection 5, shall be limited to twenty years
3 from the calendar year following the calendar year in which the
4 municipality first certifies to the county auditor the amount
5 of any loans, advances, indebtedness, or bonds that qualify
6 for payment from the division of revenue provided for in this
7 section. The ordinance shall terminate and be of no further
8 force and effect following the twenty-year period provided in
9 this subsection.

10 Sec. _____. Section 403.19, Code 2026, is amended by adding
11 the following new subsections:

12 NEW SUBSECTION. 9A. a. In addition to the limitations
13 and requirements for relocations under subsection 9, moneys
14 from any source deposited into the special fund created in
15 this section shall not be expended for or otherwise used
16 in connection with an urban renewal project approved on
17 or after the effective date of this division of this Act
18 that includes the relocation of a commercial or industrial
19 enterprise receiving assistance or incentives from a different
20 municipality's special fund under this section and not
21 presently located within the municipality, if the total amount
22 of assistance or incentives for such enterprise exceeds the
23 total amount of assistance or incentives received or agreed to
24 be received from the other municipality.

25 b. For the purposes of this subsection, "*relocation*"
26 means the closure or substantial reduction of an enterprise's
27 existing operations in one area of the state and the initiation
28 of substantially the same operation in the same metropolitan
29 statistical area. This subsection does not prohibit an
30 enterprise from expanding its operations in another area of the
31 state provided that existing operations of a similar nature are
32 not closed or substantially reduced.

33 NEW SUBSECTION. 12. For any fiscal year beginning on
34 or after July 1, 2027, following written request filed with
35 the county auditor and the board of directors of the school

1 district, a school district may approve by resolution of the
2 board of directors the payment from the school district's
3 general fund to the municipality for deposit in the special
4 fund under this section all or a portion of the school
5 district's foundation property taxes under section 257.3 levied
6 against property upon which new construction or renovations
7 begin on or after the effective date of this division of this
8 Act, unless such construction or renovations were approved and
9 subject to an agreement adopted before January 1, 2027, for one
10 or more applicable fiscal years. If approved, the board of
11 directors shall file such resolution with the county auditor.
12 Payments approved under this subsection are voluntary and a
13 school district is not required to pay over the revenue to the
14 municipality unless approved by resolution. Amounts paid by
15 a school district under this subsection shall continue to be
16 considered foundation property taxes levied under section 257.3
17 and such payment shall not result in the adjustment of state
18 foundation aid or other amounts under chapter 257.

19 Sec. _____. Section 403.19, subsection 10, Code 2026, is
20 amended by adding the following new paragraph:

21 NEW PARAGRAPH. c. For fiscal years beginning on or after
22 July 1, 2027, moneys from any source deposited into the special
23 fund created in this section shall not be expended for salaries
24 or benefits of a permanent staff member of a municipality or
25 local or regional economic development entity.

26 Sec. _____. URBAN RENEWAL REPORT — TASK FORCE.

27 1. By January 1, 2027, the department of revenue shall
28 prepare and submit a report, including any recommended changes,
29 to the general assembly regarding statewide use of chapter 403
30 and divisions of revenue.

31 2. The department of revenue shall convene a task force of
32 local and state officials, state legislators, and technical
33 experts to assist in the review undertaken pursuant to
34 subsection 1.

35 Sec. _____. EFFECTIVE DATE. This division of this Act, being

1 deemed of immediate importance, takes effect upon enactment.

2 Sec. _____. APPLICABILITY. The following applies to property
3 taxes due and payable in fiscal years beginning on or after
4 July 1, 2027:

5 The section of this division of this Act amending section
6 403.19, subsection 2, paragraph "a".

7 DIVISION ____

8 PROPERTY TAX DEFERRAL — TASK FORCE

9 Sec. _____. PROPERTY TAX DEFERRAL TASK FORCE — REPORT.

10 1. By January 10, 2027, the department of revenue shall
11 prepare and submit a report approved by the task force created
12 under subsection 2, including recommended legislative actions,
13 to the general assembly regarding the establishment of a
14 program under which low-income elderly homestead owners may
15 apply to defer property taxes owed until the occurrence of a
16 qualifying event, including but not limited to death of the
17 owner, sale of the property, or transfer of the property to
18 someone other than a surviving spouse.

19 2. The department shall convene a task force consisting of
20 at least all of the following persons:

21 a. The director of revenue, or the director's designee.

22 b. The director of the department of management, or the
23 director's designee.

24 c. A representative of the Iowa league of cities.

25 d. A representative of the Iowa state association of
26 counties.

27 e. Three homestead owners from this state, selected by the
28 director of revenue.

29 f. Four ex officio, nonvoting legislative members
30 consisting of the following:

31 (1) Two state senators, one appointed by the president of
32 the senate after consultation with the majority leader of the
33 senate and one appointed by the minority leader of the senate
34 from their respective parties.

35 (2) Two state representatives, one appointed by the speaker

1 and one appointed by the minority leader of the house of
2 representatives from their respective parties.

3 3. Task force meetings shall be open to the public.

4 4. The task force shall compile and analyze at least all of
5 the following prior to preparation of the department's report
6 under subsection 1:

7 a. An inventory of potentially eligible property in the
8 state.

9 b. Feasible program structures.

10 c. Possible methods for calculation and payment of deferred
11 amounts.

12 d. Implementation timelines and procedures.

13 DIVISION ____

14 PAYMENTS IN LIEU OF PROPERTY TAXES — TASK FORCE

15 Sec. _____. PAYMENTS IN LIEU OF PROPERTY TAXES TASK FORCE —
16 REPORT.

17 1. By January 10, 2027, the department of revenue shall
18 prepare and submit a report approved by the task force created
19 under subsection 2, including recommended legislative actions,
20 to the general assembly regarding the establishment of a
21 program under which counties may implement a program for the
22 collection of payments in lieu of property taxes from owners of
23 property that is exempt, in whole or in part, from ad valorem
24 property taxes, but excluding government-owned property.

25 2. The department shall convene a task force consisting of
26 at least all of the following persons:

27 a. The director of revenue, or the director's designee.

28 b. The director of the department of management, or the
29 director's designee.

30 c. All members of the Polk county board of supervisors.

31 d. One mayor from a city located, in whole or in part,
32 within Polk county, selected by the director of revenue.

33 e. Three representatives from tax-exempt entities located
34 in Polk county of varying sizes, selected by the director of
35 revenue.

1 f. One private property owner, selected by the director of
2 revenue.

3 g. Four ex officio, nonvoting legislative members
4 consisting of the following:

5 (1) Two state senators, one appointed by the president of
6 the senate after consultation with the majority leader of the
7 senate and one appointed by the minority leader of the senate
8 from their respective parties.

9 (2) Two state representatives, one appointed by the speaker
10 and one appointed by the minority leader of the house of
11 representatives from their respective parties.

12 3. Task force meetings shall be open to the public.

13 4. The task force shall compile and analyze at least all of
14 the following prior to preparation of the department's report
15 under subsection 1:

16 a. An inventory of tax-exempt property.

17 b. Interest and feasibility of county participation in such
18 a program.

19 c. Feasible program structures.

20 d. Possible methods for calculation of program payment
21 amounts, not to exceed the proportionate amount of a county's
22 budget for law enforcement, fire protection, and public works
23 services.

24 e. Implementation timelines and procedures.>

25 51. Title page, line 3, after <revenue,> by inserting
26 <establishing a program for first-time homebuyers,>

27 52. By renumbering, redesignating, and correcting internal
28 references as necessary.

DAN DAWSON